

Business Law

Lecture 5

Standard Business Terms

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Standard Business Terms

AGENDA

STANDARD BUSINESS TERMS (SBT)

PURPOSE & HISTORY

WHAT ARE SBT?

SCRUTINY OF SBT

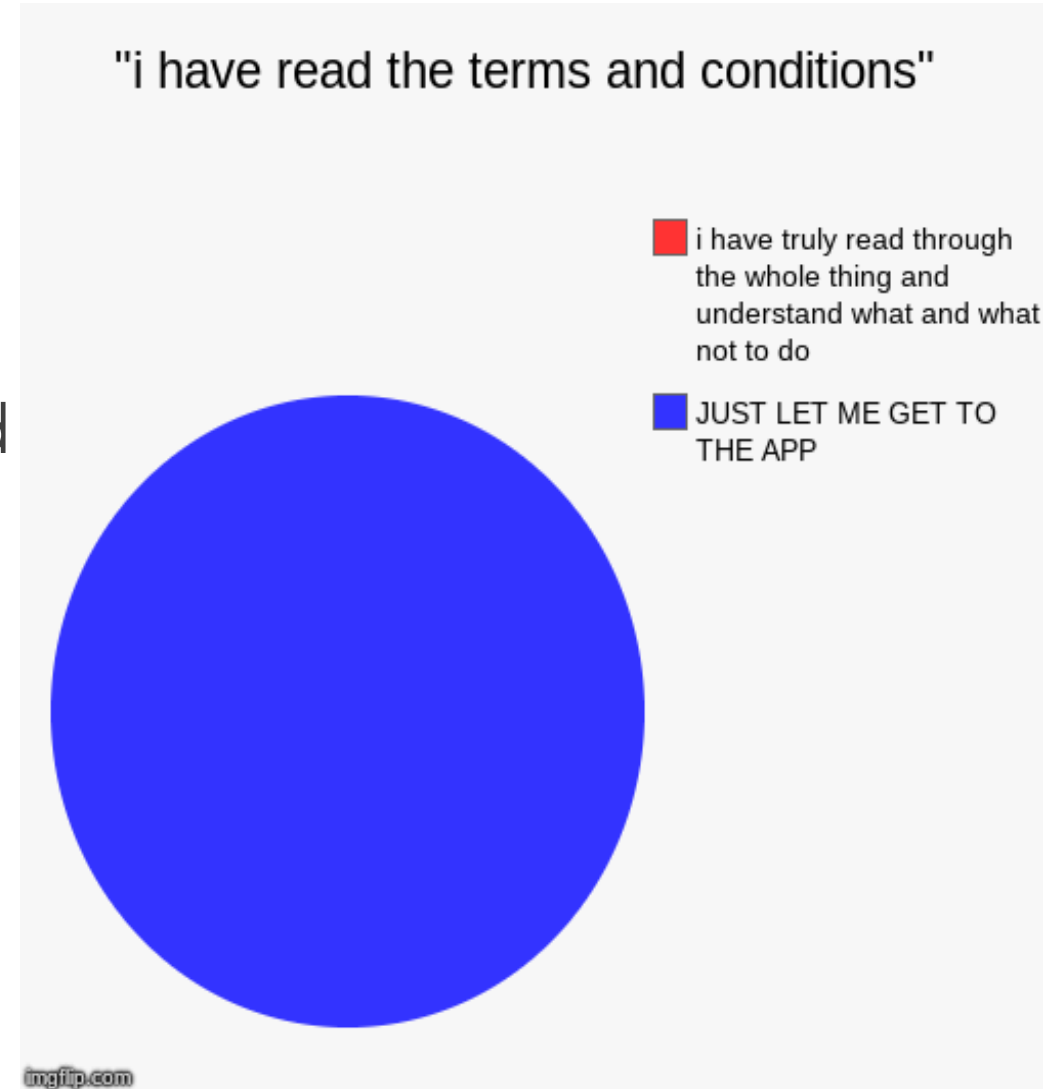
SBT – Introduction

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- Very popular and widely used
 - Every online service
 - Many B2B and B2C offline contracts
 - New contract types (e.g. leasing, factoring)
- >90% of people agree to but don't read SBT
- Extremely long and detailed:
 - Microsoft: 15260 words – 1:03:30h
 - Tiktok: 7459 words – 31:24min
 - Instagram: 2451 words – 09:42min
 - Paypal: 83 pages

Source: <https://data.mactechnews.de/557252.png>

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SBT – Purpose & History

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User of SBT		Contracting partner	
Advantages	Disadvantages	Advantages	Disadvantages
Standardization of mass business (rationalization effect)	Contra proferentem rule = interpretation against the user	Rationalization effect	„take it or leave it“
Lowering the costs of contracting (negotiation/transaction costs)	Regular updating according to new court rulings	Scrutiny of content	Often one-sidedly favoring the user
Detailed provision for every situation	Risks of mass court proceedings against faulty SBT	<u>Transaction costs:</u> ▪ Time and money involved in concluding and carrying out a transaction • Search and information costs • Bargaining and decision costs • Policing and enforcement costs	
Reducing risks	Risks of warnings from consumer protection associations		
Shaping new contract types: franchising, insurance contracts			

SBT – Purpose & History

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- First: scrutiny of standard terms by § 242 BGB – good faith
- Law on SBT in 1976
 - Case law was incorporated in legal provisions
 - More legal certainty
- EU directive 93/13/EEC on unfair terms in consumer contracts
- 2001: Incorporation into §§ 305 et seq. BGB
 - Applicable to B2C and B2B contracts (with modifications)
 - Scrutiny of B2B SBT is less strict
 - Greater private autonomy: more contractual leeway
 - More business experience – less protection

SBT - Structure for solving cases

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- A. Contract conclusion, §§ 145 et seq. BGB
- B. SBT
 - I. Existence of standard business terms
 - II. Incorporation of standard business terms
 - III. Scrutiny of content
 - IV. Legal consequences of invalid clauses

§ 305 I BGB

Incorporation of standard business terms into the contract

(1) Standard business terms are all contract terms pre-formulated for more than two contracts which one party to the contract (the user) presents to the other party upon the entering into the contract.

- The constituting elements acc. to § 305 I 1 BGB
 1. Contract terms
 2. Pre-formulated
 3. Intention to use in at least three different contracts
 4. Presentation by the user

- SBT vs. individually negotiated agreements, § 305 I 3 BGB:

“Contract terms do not become standard business terms to the extent that they have been negotiated in detail between the parties.”

1. Contract terms

- Terms are supposed to become part of the contract
- Not necessarily in writing

2. Pre-formulated

- Terms need to be fixed before concluding contract
- Crucial: room for true individual negotiation of terms?

3. For a multitude of contracts

- Intention to use at least three times (not the actual number of uses)
- Rebuttable presumption of intention to use for a large number of contracts
- User must prove that clause is not intended for multiple use
- Exemption in § 310 III Nr. 2 BGB: B2C – one time use suffices

4. Provided by the user

- Unilateral introduction of the clauses by user
- User is who instigated the integration of SBT
- No possibility for the contractual partner to influence the terms of the contract

5. No individual agreement, § 305 I 3 BGB

- Given when contractual content has been seriously challenged
- There was a real possibility for the contractual partner to influence the contract terms

- General rules of contract conclusion
 - §§ 145 et seq. BGB: offer and acceptance, also tacitly



- Special rules for standard terms in §§ 305 II
 - Exemption in § 310 I, IV BGB for
 - B2B contracts
 - Employment contracts
 - Exemptions in § 305a BGB for public transport and utility sector

§ 305 II BGB

Incorporation of standard business terms into the contract

(2) Standard business terms only become a part of a contract if the user, when entering into the contract,

1. refers the other party to the contract to them explicitly or, where explicit reference, due to the way in which the contract is entered into, is possible only with disproportionate difficulty, by posting a clearly visible notice at the place where the contract is entered into, and

2. gives the other party to the contract, in an acceptable manner, which also takes into reasonable account any physical handicap of the other party to the contract that is discernible to the user, the opportunity to take notice of their contents,

and if the other party to the contract agrees to their applying.

- Surprising clauses, § 305c I BGB
 - Cannot be included into the contract by SBT
 - Unusual appearance (placement in SBT)
 - Surprising content altering the agreement

- Protective clauses: attempt to exclude the incorporation of the other party's standard business terms, e.g.:

“These General Terms and Conditions of Purchase shall apply exclusively; any deviating, conflicting or supplementary General Terms and Conditions of Business of the Supplier shall only become an integral part of the contract if and to the extent that the Customer has expressly consented to their application in writing.”

- Consequence of non-incorporation: § 306 BGB
 - Rest of the contract is effective, § 306 I BGB
 - Statutory provisions apply, § 306 II BGB
 - No statutory provision? Supplementary interpretation of the agreement
 - ▶ „What would the contracting parties have reasonably agreed upon?“

Entrepreneur V wants to sell a machine to entrepreneur B for 10.000€ and adds his standard business terms to the offer. V's standard business terms state that he retains ownership of the machine until full payment is received (retention of title). B accepts the offer after receiving it via email and sends his acceptance to V adding her standard business terms. In contrast, these terms state that she does not accept any retention of title. A few days later V ships the machine to B who starts working with it but hasn't paid it yet.

What did V and B agree on?

- Conflicting standard business terms
- Two solutions:
 - „Theory of last word“ / last shot rule
 - Who communicated his standard terms last?
 - Other party accepts these by performing its contractual obligation
 - New offer from B acc. to § 150 II BGB
 - Implicit acceptance of new offer by delivery of machine, § 151 BGB
 - New offer only includes B's SBT
 - No retention of title, B has full ownership
 - Problem: random disadvantage of one party; „eternal ping-pong“

Application of statutory provisions

- Offer and acceptance not totally congruent
 - Congruent SBT apply
 - Lack of agreement in certain points, §§ 154, 155 BGB
 - Normally: no contract
 - § 306 I BGB upholds the contract as special provision
 - § 306 II BGB: statutory provisions apply
 - ▶ Retention of title is not the default but must be agreed upon, § 449 I BGB
 - ▶ Here: No agreement concerning the retention of title

- *Contra proferentem* rule, § 305c II BGB
 - „Against the offeror“ rule
 - Interpretation against the user
 - Any doubts in interpretation (e.g. ambiguity) must be decided against user
 - Most costumer unfriendly interpretation of clause by courts
 - ➡ Paradox?
 - Customer unfriendly interpretation leads to invalidity of clause
 - ➡ Advantageous for costumer

- Example:
 - Clause: „whiten“ of walls during lease
 - Landlord can prescribe to paint the walls during the lease but cannot prescribe the specific color of the paint
 - Could be interpreted in the legal way („whiten“ = „paint“),
but: § 305c II BGB
 - The cosmetic repair clause contained in a residential lease agreement, according to which the tenant has to "whiten" (instead of paint) the ceilings and walls even during the current tenancy, was interpreted to the effect that the painting had to be done in white color (and the clause was therefore invalid, because the landlord cannot prescribe the color of the paint during the lease agreement) (BGH, 21.09.2011 - VIII ZR 47/11 – [Link](#))

SBT – Content control

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- SBT that deviate from statutory provisions, § 307 III BGB
- No control of price or performance or their relationship
 - Private autonomy
 - Restricted by other means: §§ 134, 138 BGB

§ 307	§ 308	§ 309
Test of reasonableness of content	Prohibited clauses <u>with</u> the possibility of evaluation	Prohibited clauses <u>without</u> the possibility of evaluation



Order of scrutiny

2. Content control

a. § 309 BGB: Prohibited clauses without the possibility of evaluation

- Not scrutinized in B2B SBT, § 310 I 1 BGB
- SBT that deviate strongly from statutory provisions and underlying principles or modify balanced systems created by the legislator
- § 309 Nr. 12, 14 BGB
 - (Burden of proof) a provision by which the user modifies the burden of proof to the disadvantage of the other party to the contract, in particular by
 - a) imposing on the latter the burden of proof for circumstances lying in the sphere of responsibility of the user, or
 - b) having the other party to the contract confirm certain facts;
 - (Waiver of claim) a provision according to which the other party to the contract may assert its claims against the user in court only after it has attempted an amicable settlement in a procedure for out-of-court settlement of a dispute

- b.* § 308 BGB: Prohibited clauses with the possibility of evaluation
- Partly not scrutinized in B2B STB, § 310 I 1 BGB
 - SBT that typically constitute an unreasonable disadvantage for the user's contracting party
 - With possibility of evaluation: circumstances of the individual case might prove no unfair disadvantage
 - § 308 Nr. 2 BGB
 - (Additional period of time) a provision by which the user, contrary to legal provisions, reserves to himself the right to an unreasonably long or insufficiently specific additional period of time for the performance he is to render

- c. § 307 BGB: Test of reasonableness of content
 - Most important part of content control, great flexibility, case law
 - Fully applicable to B2B contracts
 - Spillover effect of §§ 308, 309 BGB via § 307 BGB
 - Unreasonable disadvantage
 - Non-transparent SBT
 - ▶ E.g. using unclear or misleading terminologies: online shops offer a voucher instead of a refund for defective products
 - Incompatibility with basic principles of statutory provisions
 - ▶ E.g. exclusion of right to rescission
 - Limitation of essential rights and duties of a contract jeopardizing the contract purpose
 - ▶ E.g. new car purchase contract: excluding small scratches (<3mm) from definition of material defects

- Ineffectiveness of individual standard terms, § 307 I 1 BGB
- Rest of the contract is effective, § 306 I BGB
- Ineffective clauses are replaced by statutory provisions, § 306 II BGB
- No reduction of an invalid clause to its valid core or part
 - Total ineffectiveness
 - Exception: blue pencil test

- Blue pencil Test: Example I
 - “Liability is limited to 50000€ for gross negligence and 25000€ for slight negligence per case of damage.”
 - Problem: § 309 Nr. 7 lit. b BGB
 - No limitation of liability for gross negligence
 - Limitation for slight negligence is possible
 - “Liability is limited to ~~50000€ for gross negligence and~~ 25000€ for slight negligence per case of damage.”
 - ☐ Limitation for slight negligence is effective

- Blue pencil Test: Example II
 - “Liability for negligence is limited to 50000€ per case of damage.”
 - Problem: § 309 Nr. 7 lit. b BGB
 - No limitation of liability for gross negligence
 - Limitation for slight negligence is possible
 - Liability for negligence includes gross and slight negligence
 - ~~“Liability for negligence is limited to 50000€ per case of damage.”~~
 - Blue pencil test does not work
 - ☐ Clause is invalid in total

SBT – Content control – Negotiations

§305 et
seq. BGB

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Strict standard terms



A

Negotiations



B

Tactic: B accepts A's strict standard terms completely and doesn't negotiate about every single disadvantageous clause.

- Negotiation costs are lower
- A's standard terms include illegal clauses: § 305 et seq. BGB
 - B's interests are protected by incorporation and content control
- Removal by negotiation wouldn't be reasonable:
 - Need to give up something in return
 - §§ 305 et seq. not applicable due to individual negotiation
- Tactic more fit for one-time transactions
 - Involvement of courts is often unreasonable in ongoing business relationships

Revision questions

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What are the main steps of a Standard Business Term examination?

What are the consequences when a clause fails the incorporation control or the content control acc. to §§ 305 et seq. BGB?